Casa de Bolsa Interacciones

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Bimbo 2Q15 Quick View: Growth at a high cost

BUY, Target Price: MXN $44

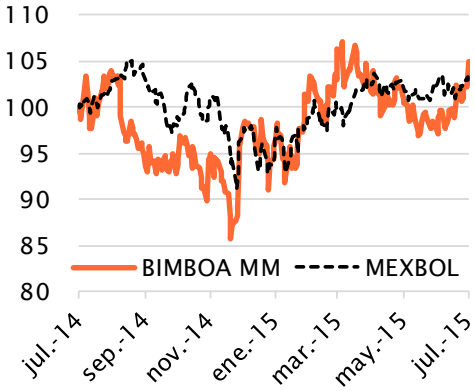
July 21st, 2015

Grupo Bimbo SA CV
BIMBOA MM

Price (MXN, as of 07/21/2015)	P$43.63
Buy	
Target Price	P$44.00
Stock Price Return	0.8%
Dividend Yield	0.4%
Expected Total Return	1.2%
Market Cap (MXN mn)	205,201
Shares Outstanding (mn)	4,703.2
Free Float	24%
Beta (3 yr, vs MEXBOL)	1.05
Daily Value Traded (avg, USD mn)	4

Source: Interacciones and the company

BIMBOA MM vs MEXBOL



Source: Bloomberg

Bimbo has aggressively pursued its inorganic growth strategy, which is now reflected with the consolidation of results in the United States, Canada and the recent acquisition of Panrico in Spain and Portugal. However, sales growth is being diluted by a higher financial burden. As a result, margins are displaying only minimal improvements and in some cases, certain decreases. We expect a moderately negative effect for the stock price.

Sales are growing: By region, the sales' results were as follows: Mexico grew 5.3% YoY to MXN $18,631M; USA and Canada, thanks to the consolidation of Canada Bread and Vichon grew 31.4% YoY to MXN $28,307M; Latin America reached MXN $5,689M for a 10.3% YoY increase and Europe grew 13.5% YoY to reach MXN $1,858M. Consolidated sales increased 18.1% to reach MXN $53,093M.

But profitability is not taking off: In spite of higher sales, margins are only improving slightly. The EBITDA margins by region were: 17.5% for Mexico, 8.6% for USA and Canada, 0% for Latin America and -6.0% for Europe. On a consolidated basis, the EBITDA margin was 10.6%, an improvement of only 30 bps against the same period of 2014. Consolidated Net Income reached MXN $1,747M, an 8.3% YoY increase. However, the net margin decreased to 3.3%, from 3.6% of 2Q14.

Outlook: With the recent announcement that this inorganic growth strategy will continue with Panrico in Portugal and Spain, we believe that higher sales and EBITDA will be countered with a higher debt, interests and lower free cash flow in the short term. In the mid-term, and at a slower pace than expected, we believe that the implementation of cost reductions across regions would prove successful and the company should lower its leverage and improve its profitability.

The Net Debt / EBITDA ratio is now 2.9x. In terms of total debt, 74, 25 and 1% are USD, CAD and MXN denominated respectively. This high exposure to other currencies poses a risk that will be important for the company to monitor.

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Target Price History

BIMBOA: Historic Target Price(s) & Recommendation(s)		
Date of change	18-jul-14	18-sep-14
Target Price	**P$44.00**	**P$44.00**
Recommendation	2	1

** Recommendations: 1=Buy, 2=Hold, 3=Sell*

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Additional information available upon request.

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